

# Where Should We Expand Next?

## A Data-Backed Market Opportunity Recommendation

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### Recommendation

**Prioritize New Orleans (Historical Tours, Walking Tours) and Santa Barbara (Wine Tours, Tours) for near-term expansion or investment.** These city-category segments show proven customer demand and strong satisfaction, with room for continued growth — a rare combination of validated interest and headroom.

### The Business Question

Where should a business owner, investor, or franchise group prioritize expansion, based on where customer engagement and satisfaction are already strongest — but the market isn't yet saturated?

### Supporting Data

Out of 150,243 businesses in the dataset (overall average rating: **3.60**, average **44 reviews per business**), we identified **561 city-category combinations** that clear a high bar: at least 10 businesses, an average rating of 4.0+, and an average of 50+ reviews per business — meaning the demand and satisfaction signal is real, not a fluke from one or two standout businesses.

The strongest opportunities include:

| City              | Category         | Businesses | Avg Rating | Total Reviews |
|-------------------|------------------|------------|------------|---------------|
| New Orleans, LA   | Historical Tours | 54         | 4.59       | 9,663         |
| New Orleans, LA   | Walking Tours    | 44         | 4.55       | 7,783         |
| Santa Barbara, CA | Tours            | 86         | 4.65       | 5,949         |
| Santa Barbara, CA | Wine Tours       | 55         | 4.70       | 2,962         |
| Nashville, TN     | Historical Tours | 21         | 4.55       | 3,035         |

New Orleans' Historical Tours segment alone generated **9,663 reviews** — over 200x the dataset's per-business average — while maintaining a 4.59 rating, well above the 3.60 market baseline. This isn't a niche curiosity; it's a proven, high-demand category with an engaged customer base.

### Why This Signals Opportunity, Not Saturation

Several of the strongest-performing segments still have relatively few active businesses — for example, New Orleans' Food Tours (13 businesses, 4.73 rating) and Rafting/Kayaking (10 businesses, 4.70 rating) show top-tier satisfaction with limited competitive density. This pattern — high rating, high engagement, low business count — is a strong indicator of headroom for new entrants, rather than a market already crowded with competitors.

### Limitations

Yelp's dataset skews toward US metro areas with high app adoption and tourism activity; smaller cities, rural markets, and non-English-speaking regions are underrepresented. Ratings and review counts also reflect visibility and marketing reach, not purely service quality — a business with strong SEO or tourist foot traffic may outperform a comparable business in a lower-traffic location. This analysis should inform prioritization, not replace on-the-ground due diligence.

**Full Analysis:** Complete SQL analysis, data model, and interactive Power BI dashboard available at [github.com/vyshnavps07-oss/Yelp-Business-Intelligence-Performance-Market-Opportunity-Analysis](https://github.com/vyshnavps07-oss/Yelp-Business-Intelligence-Performance-Market-Opportunity-Analysis)